EDUCATION

# Beginner's Guide to Reading Charts

Candlesticks, support and resistance, volume, and trends — no jargon.

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Every trading decision begins with reading a chart. A price chart is a visual record of every transaction that occurred in a stock — every buyer and seller, every moment of fear and greed, every institutional accumulation and distribution. Learning to read price charts correctly is the single most foundational skill in technical trading.

FOUNDATION 1

## What a Candlestick Shows

Each candlestick represents a specific time period and records four pieces of information: the opening price, the highest price reached, the lowest price reached, and the closing price. A green (or white) candle means the stock closed higher than it opened — buyers were in control during that period. A red (or black) candle means it closed lower — sellers were in control. The thin lines above and below the body are called wicks, and they show the extreme high and low prices reached during that candle.

FOUNDATION 2

## Support and Resistance Levels

Support is a price level where buyers have historically stepped in and stopped a price decline. It is a level the market has decided has value. Resistance is a level where sellers have historically stepped in and stopped a rally. These levels are the most important reference points on any chart — prices tend to react at them repeatedly across time. A broken support level often becomes new resistance, and a broken resistance often becomes new support.

FOUNDATION 3

## Reading Volume

Volume is the total number of shares traded during a candle's time period. Volume tells you the conviction behind a price move. High volume on an upward move means many participants are buying — the move is likely to continue. High volume on a downward move means many participants are selling. Low volume on any move — up or down — signals weak conviction and a higher likelihood the move reverses. The single most important rule: never trust a breakout that is not accompanied by significantly above-average volume.

FOUNDATION 4

## Identifying Trends

An uptrend is defined by a series of higher highs and higher lows — each peak in the move is higher than the previous peak, and each pullback holds above the previous pullback low. A downtrend is the opposite: lower highs and lower lows. A range-bound or consolidating market moves sideways between a support level and a resistance level without establishing a directional trend. Your job is to identify which environment you are in before you trade.

FOUNDATION 5

## Moving Averages

A moving average calculates the average closing price over a set number of periods and plots it as a line on the chart. The 8-period EMA, 20-period EMA, and 50-period SMA are the most widely used by active traders. When price is above a moving average, the short-term trend is bullish. When below, bearish. Moving averages act as dynamic support in uptrends and dynamic resistance in downtrends — price tends to bounce at them in trending conditions.

## CANDLESTICK PATTERN QUICK REFERENCE

| PATTERN | WHAT IT LOOKS LIKE | WHAT IT SIGNALS | BEST CONTEXT |
|---|---|---|---|
| Hammer | Small body near top, long lower wick (2x+ body length) | Buyers rejected lower prices — strong buying pressure emerged | At support levels after a downtrend — bullish reversal |
| Shooting Star | Small body near bottom, long upper wick (2x+ body length) | Sellers rejected higher prices — strong selling pressure emerged | At resistance levels after an uptrend — bearish reversal |
| Doji | Open and close nearly identical — very small body | Indecision — neither buyers nor sellers in control | At the end of a trend as a potential reversal warning |
| Bullish Engulfing | Large green body fully engulfs the prior red candle body | Strong shift in momentum from sellers to buyers | At key support after a decline — high-conviction reversal |
| Bearish Engulfing | Large red body fully engulfs the prior green candle body | Strong shift in momentum from buyers to sellers | At key resistance after a rally — high-conviction reversal |
| Marubozu (green) | Large green candle with no or minimal wicks | One side in complete control — very strong momentum | Breakouts and strong trend-continuation moves |
| Morning Star | Three candles: red, small-body doji, strong green | Three-day bottom reversal pattern | After a significant downtrend at a key support level |

## MOVING AVERAGE QUICK REFERENCE

| MOVING AVERAGE | PERIOD TYPE | PRIMARY USE | WHAT IT TELLS YOU |
|---|---|---|---|
| 8 EMA | Exponential | Intraday momentum | Is the stock in short-term momentum or not |
| 20 EMA | Exponential | Pullback entries | Key level for first pullback in trending stocks |
| 50 SMA | Simple | Swing trade trend filter | Intermediate trend direction and key support/resistance |
| 200 SMA | Simple | Bull vs bear market filter | Above = broad bullish bias; below = broad bearish bias |

> **TST CORE PRINCIPLE**
>
> Always start your chart analysis on the daily timeframe to understand the larger context and trend. Then drop to the intraday chart (5-minute or 1-minute) for your entry timing. Trading intraday without knowing what the daily chart looks like is like navigating a city without a map — you might eventually get somewhere, but not efficiently.

*Full chart reading curriculum covered in the TST Academy Beginner section at topstocktrading.com*